www.tntextbooks.in

3. ADRs are issued in
   a. Canada
   b. China
   c. India
   d. The USA
4. Depositary receipts that are traded in an international market other than the United States are called
   a. Global Depositary Receipts
   b. International Depositary Receipts.
   c. Open Market Depositary Receipts
   d. Special Drawing Rights.
5. _____ bond is a special type of bond issued in the currency other than the home currency.
   a. Government Bonds
   b. Foreign Currency Convertible Bond
   c. Corporate Bonds
   d. Investment Bonds

Answers

1. b 2. a 3. d 4. a 5. b

II. Very Short Answer Questions

1) Who are Foreign Institutional Investors?
2) What is a Depository Receipt?
3) What is a GDR (Global Depository Receipt)?
4) What is an American Depositary Receipt (ADR)?
5) What is a Foreign Currency Convertible Bond?

III. Short Answer Questions

1. Explain the importance of international finance.
2. What are Foreign Currency Convertible Bonds?
3. Explain any three disadvantages of FDI
4. State any three features of ADR.
5. State any three features of GDR.

IV. Long Answer Questions

1. Describe the importance of international finance?
2. Distinguish between GDR and ADR.
3. State any five features of FCCB.
4. Explain any five advantages of FDI.

Reference

1. International Finance by Neeraj, Neeraj Publications
2. International Trade Finance Taxmann publishers pvt ltd 2017
3. www.ibef.org